

Multiple Choice (10 marks)

1. Which of the following would reduce economic growth?
 - (a) An increase in immigration from abroad.
 - (b) A rise in the level of education.
 - (c) A rise in the literacy rate.
 - (d) A decrease in unemployment rates.
 - (e) A growth in the number of small businesses.
2. Which of the following increases the size of the tax multiplier?
 - (a) An increase in the reserve ratio.
 - (b) An increase in the money supply.
 - (c) A decrease in the marginal propensity to consume.
 - (d) A decrease in the spending multiplier.
 - (e) An increase in the interest rate.
3. Assume the reserve requirement is 10 percent. If the FED sells \$29 million worth of government securities in an open market operation then the money supply can
 - (a) decrease by \$29 million.
 - (b) increase by \$2900 million.
 - (c) decrease by \$2.9 million.
 - (d) stay the same.
 - (e) increase by \$29 million.
4. Tariffs and quotas
 - (a) affect domestic prices: the former lowers them while the latter raises them.
 - (b) reduce the overall cost of goods for consumers.
 - (c) have no impact on the volume of trade between nations.
 - (d) result in higher domestic prices.
 - (e) ensure the stability of international markets without influencing domestic markets.
5. Consider the following model for y_t : $y_t = \mu + \lambda t + u_t$ Which one of the following most accurately describes the process for y_t ?
 - (a) A non-stationary process without trend
 - (b) A random walk with drift

- (c) A stationary process
- (d) A mean-reverting process
- (e) A stationary process with trend

True / False (10 marks)

Answer True or False

- 6. True or False: A monopoly faces a perfectly elastic demand curve for its product.
- 7. True or False: An externality leads to an equilibrium price that is exactly equal to the market price, indicating efficient outcomes.
- 8. True or False: In the standard regression model, the dependent variable y is assumed to have a probability distribution.
- 9. True or False: An unplanned decrease in inventories typically leads to an increase in output as firms respond to rising demand.
- 10. True or False: Economies and diseconomies of scale are defined over the business cycle, reflecting long-term trends in production efficiency.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the role of government intervention in the economy, focusing on its impact on economic activity and resource redistribution, and analyze the perspectives of supply-side economists on this issue.
- 12. Discuss the components of the demand for money as outlined by Marshall and Fisher, and analyze their relevance in today's economic context.

End of Paper